



Apex Prep Vault

Management

Quick Revision Notes

For Banking &
Regulatory Exams

Table of Content

A. Fundamentals of Management

- a. Levels of Management & Managerial Roles
- b. Henry Mintzberg's 10 Managerial Roles
- c. Robert L. Katz's 3 Managerial Skills
- d. Functions of Management
- e. Evolution Of Management Thought
- f. Classical Approach
 - ✓ Administrative Management — Henri Fayol
 - ✓ Scientific Management — F.W. Taylor
 - ✓ Difference Btw Fayol vs Taylor
 - ✓ Bureaucratic Management — Max Weber
- g. Neo Classical Approach
 - ✓ Behavioural Science Approach
 - ✓ Human Relations Approach
 - ✓ Hawthorne Experiments (1924–1932) at Western Electric Co:
- h. Modern Approach
 - ✓ Systems Approach
 - ✓ Contingency Approach
 - ✓ Nudge Theory

B. Motivation

- a. Theories of Motivation
- b. Content Theories
- c. Process Theories
- d. Maslow's Hierarchy of Needs Theory
- e. ERG Theory by Alderfer
- f. Key differences Between Maslow & ERG
- g. McClelland's Theory
- h. Herzberg's Two factor theory
- i. Goal Setting Theory
- j. Theory X and Theory Y
- k. Theory Z
- l. Vroom's Expectancy Theory
- m. Adam's Equity Theory
- n. Porter Lawler Model
- o. Self Determination Theory
- p. Reinforcement Theory
- q. Clark Hull's Drive Reduction Theory
- r. Self-efficacy Theory
- s. Pygmalion Effect
- t. Golem Effect
- u. Hackman & Oldham Job Characteristics Model

C. Leadership

- a. Leadership Styles (Kurt Lewin's 3 types)
- b. Transactional Leadership

- c. Transformational Leadership
- d. Transformational Vs Transactional
- e. Bureaucratic Leadership (Max Weber)
- f. Charismatic Leadership
- g. Leadership Theories
- h. Trait Theory
- i. Functional Approach Theories
- j. Behavioural Theories
 - ✓ The Ohio Studies
 - ✓ Michigan Leadership Studies
- k. Blake and Mouton Managerial Grid
- l. Situational Theories
 - ✓ Tannenbaum & Schmidt – Leadership Continuum Theory
 - ✓ Path-Goal Theory
- m. Contingency Theories
 - ✓ Fiedler's Contingency Theory
 - ✓ Hersey & Blanchard Model
- n. Transactional Leadership Theories
 - ✓ Leader Member Exchange Theory

D. Communication

- a. Communication Process
- b. Communication Channels
- c. Verbal Communication
 - ✓ Oral Communication
 - ✓ Written Communication
- d. Non-Verbal Communication
- e. Direction of Communication Flow
- f. Communication Networks
 - ✓ Formal Networks
 - ✓ Informal Networks
- g. The 7 Cs of Communication
- h. Oral vs Written Communication
- i. Verbal vs Non-Verbal Communication
- j. Barriers of Communication
 - How to overcome Barriers
- k. Role of Information Technology in Communication

E. Human Resource Development

- a. Human Resource Management meaning
- b. HRM vs HRD
- c. Career Planning & Development
- d. HRD Principles & Roles
- e. Rewards & Incentives

Management

Fundamentals of Management

Management is the process of planning, organising, staffing, directing, and controlling resources to achieve organisational goals effectively and efficiently

Father of Management: Peter F. Drucker
 Father of General Management: Henri Fayol
 Father of Scientific Management: F.W. Taylor

Levels of Management & Managerial Roles

Three Levels:

Top Level (BOD, CEO): Strategy, policies, coordination

Middle Level (Branch/Department managers): Interpret & execute top-level plans

Lower Level (Supervisors, foremen): Day-to-day supervision, worker motivation

Henry Mintzberg's 10 Managerial Roles (3 Categories)

Category	Roles
Interpersonal	Figurehead, Leader, Liaison
Informational	Monitor, Disseminator, Spokesperson
Decisional	Entrepreneur, Disturbance Handler, Resource Allocator, Negotiator

Robert L. Katz's 3 Managerial Skills

Technical	Most important at lower level
Human	Important at all levels
Conceptual	Most Important at top level

Functions of Management

Planning → Organising → Staffing → Directing → Controlling

Planning	The basic function; thinking ahead
Organizing	Synchronising human, physical, and financial resources
Staffing	manning the organization structure through proper and effective selection
Directing	the managers instruct, guide and oversee the performance of the workers to achieve predetermined goals.
Controlling	Ensuring conformity with standards

Evolution Of Management Thought

1. Classical Approach
 - a) Administrative Management — Henri Fayol
 - b) Scientific Management — F.W. Taylor
 - c) Bureaucratic Management — Max Weber

2. Neo Classical Approach
3. Modern Approach

Classical Approach

Administrative Management — Henri Fayol

Fayol identified 14 Principles of Management:

#	Principle	Key Idea
1	Division of work	Specialization Increases efficiency
2	Authority & Responsibility	Must be balanced; authority → responsibility
3	Discipline	Obedience to rules; good supervision
4	Unity of Command	One employee, one boss
5	Unity of Direction	One head, one plan for same objectives
6	Subordination of Individual to General Interest	Organisation > individual
7	Remuneration	Fair pay for employees and organisation
8	Centralisation & Decentralisation	Optimal balance needed
9	Scalar Chain	Formal chain top-to-bottom; "Gang Plank" for emergencies
10	Order	Right person/thing in right place
11	Equity	Fair, kind treatment; no discrimination
12	Stability of Personnel	Reduce turnover; give time to settle
13	Initiative	Encourage employees to take initiative
14	Esprit de Corps	Team spirit; "I" → "We"

Scientific Management — F.W. Taylor

Taylor wanted to find the **most efficient way of performing every job**.

4 Principles:

1. Science not Rule of Thumb
2. Harmony, Not Discord
3. Cooperation, Not Individualism
4. Development of workers to greatest efficiency

Techniques:

1. Functional Foremanship — 8 specialist foremen (4 planning: route clerk, instruction card clerk, time & cost clerk, discipline officer; 4 productions: gang boss, speed boss, repair boss, inspector)
2. Work Study — Method study, Motion study, Time study, Fatigue study
3. Standardisation & Simplification — Fixed standards; eliminate unnecessary varieties
4. Differential Piece Wage System — Higher wages for efficient workers

Difference Btw Fayol vs Taylor

Basis	Fayol	Taylor
Perspective	Top Management	Floor level
Unity of Command	Strictly followed	Not followed (Functional Foremanship)
Applicability	Universal, Flexible	Specific Situations
Basis	Personal experience	Experiments & Observations

Bureaucratic Management — Max Weber

Max Weber suggested that organisations should operate through: Clearly defined jobs, Fixed rules and procedures, A proper hierarchy, Merit-based recruitment, Objective and unbiased decisions.

6 Principles of Bureaucracy:

1. Task Specialisation
2. Hierarchical Layers of Authority
3. Formal Selection (merit-based)
4. Rules and Requirements
5. Impersonality (objective decisions)
6. Career Orientation

Neo Classical Approach

the Neo-Classical Approach, studies how people behave within organisations.

Two branches of the Behavioural Approach

Behavioural Science Approach

This is a more systematic and scientific study of employee behaviour. It examines individuals and groups using psychology, sociology and related disciplines.

Human Relations Approach

Father: Elton Mayo; emerged post-1920

Reaction to Scientific Management's mechanical view of workers

Hawthorne Experiments (1924–1932) at Western Electric Co:

1. Great Illumination Experiment — Illumination level didn't affect output; other factors mattered
2. Relay Assembly Test — Social factors (recognition, group cohesion, supervision style) boosted productivity
3. Mass Interview Program — Free expression had positive effect on morale
4. Bank Wiring Observation Room — Informal groups-controlled output; workers resisted wage incentives

Behavioural Science Approach	Human Relations Approach
Studies overall human behaviour scientifically	Focuses mainly on social relationships and employee morale

Systems Approach

- The Systems Approach was introduced by Ludwig von Bertalanffy
- It views an organisation as a complete system made up of interconnected parts.
- How an organisational system works = Input → Process → Output → Feedback → Improvement
- Open system (interacts with environment) vs Closed system (self-contained)

Contributors: Chester Barnard (Cooperative Systems), Herbert Simon (bounded rationality)

Contingency Approach

No single best way to manage; it depends on the situation

Emerged from research by Burns & Stalker

Features: Situational focus, no universal principles, environmental adaptation, pragmatic

Nudge Theory

- Developed by Richard Thaler & Cass Sunstein (2008 book); Nobel Prize 2017 to Thaler
- Small, indirect suggestions that influence behaviour without compulsion
- Applications: public policy, healthcare, finance, parenting, change management
- Three Nudges for Change: Perception Nudges, Motivation Nudges, Ability & Simplicity Nudges

Motivation

An individual's intensity, direction & persistence of effort to attain a goal is called Motivation

Theories of Motivation

1. Content theories
What motivates people, mainly internal factors
2. Process theories
How motivation happens

Content Theories

Maslow's Hierarchy of Needs Theory



- Abraham Maslow
- Comprising of five-tier model of human needs within every person
 1. Physiological (food, water, shelter) — Lower order
 2. Safety (security, job stability) — Lower order
 3. Social/Belonging (friendship, acceptance) — Higher order
 4. Esteem (recognition, status) — Higher order
 5. Self-Actualisation (full potential) — Higher order
- Growth Needs, motivation increases as needs are met (self-actualization)
- Deficiency Needs, motivation decreases as needs are met (1 to 4)
- Needs hierarchy, from bottom to top needs are fulfilled, called “**satisfaction Progression**”
- Higher order needs motivate a person; to motivate a person one has to understand the level they are in & focus on satisfying the needs at or above the level

Criticism

- Needs of people are **not uniform**
- oversimplification.
- **No scientific evidence** to support
- Does not consider cultural variations
- Substantial satisfaction of needs doesn't necessarily lead to the next higher-level need

ERG Theory by Alderfer

- By Clayton Alderfer
- Further development of Maslow's hierarchy of needs
- Existence, Relatedness, Growth

- Order of Needs doesn't matter
 - Existence (Lower Order) = Physiological & Safety needs
 - Relatedness (Lower Order) = Social needs & External esteem needs
 - Growth (Higher Order) = Internal Esteem needs, self-actualization
- Frustrated – Regression = when higher level needs are not met, one goes to lower-level needs
- Starving artist, first satisfying higher level needs
- People may move up & down the ladder
- Criticism same as Maslow (1 to 4)

Key differences Between Maslow & ERG

- Satisfaction Progression vs Frustrated regression
- ERG acknowledges that fulfilling growth can trigger the desire for further growth, unlike maslow's assumption of stagnation at self-actualization

McClelland's Theory

- **David McClelland**
- Needs are acquired over time & shaped by experiences, **not innate**
- It states that every person has one of the three main driving motivators

Need of Achievement (nAch)	Need of Affiliation (nAff)	Need for Power (nPow)
◦ Has a strong need to set & accomplish challenging goals ◦ Takes calculated risks to accomplish their goals ◦ Likes to receive regular feedback on progress ◦ Result focused, avoid risky jobs	◦ Wants to be liked & get along with group ◦ Favours collaboration over competition ◦ Customer service, HR, team coordination	◦ Wants to control & Influence others ◦ Enjoys status & recognition ◦ 2 Types ◦ Personal Power = desire to dominate other for personal goals ◦ Institutional power = desire to dominate or influence others for organizational goals

- Managers with high Institutional power are often effective leaders

Applications:

- High nAch → challenging roles
- High nPow → managerial roles
- High nAff → cooperative environment

Herzberg's Two factor theory

- **Frederick Herzberg**
- It states that there are 2 factors that an organization can adjust to influence motivation in the workplace, i.e., Hygiene factors & Motivation factors
- **Motivators (growth factors) = satisfaction, No dissatisfaction**
- **Hygiene (maintenance factors) = dissatisfaction, No dissatisfaction**
- Motivators
 - Higher order, Intrinsic, increase causes satisfaction
 - Achievement, recognition, responsibility, growth, promotion, the work itself
- Hygiene factors

- Lower order, Extrinsic
- Do not provide satisfaction but absence causes dissatisfaction
- Salary, job security, working conditions, interpersonal relations, technical supervision

Goal Setting Theory

- **Edwin Locke**
- States that specific and challenging goals lead to higher performance than vague or easy goals
- Five principles of goal setting theory
 - Clarity
 - Challenge
 - Commitment
 - Feedback
 - Task complexity (Task shouldn't be too difficult)

Theory X and Theory Y

- **Douglas McGregor**
- Proposed 2 distinct views of human beings
- Under theory X, employees inherently dislike work, hence need to be directed or coerced for performing it
- Theory X managers should be authoritarian
- Under theory Y, employees are self-motivated & enjoy work
- Theory Y managers should be democratic, decentralized decision-making process

Theory Z

- **William Ouchi**
- Stresses to make employees generalists
- Trust, Intimacy, & subtlety should be present in organization
- Combines American & Japanese Management systems
- Emphasizing organizational culture, collective responsibility, & long-term employee development

Process Theories

Vroom's Expectancy Theory

- Cognitive based theory
- People are motivated when they believe their efforts will lead to good performance and will lead to desirable rewards
- Expectancy: it is the faith that better efforts will result in better performance
- Valence: It is the expected & not the actual satisfaction that an employee expects to receive after achieving the goals
- Instrumentality: It is the faith that if you perform well, then a valid outcome will be there
- **Motivation Force (MF) = Expectancy x Instrumentality x Valence**
 - Expectancy = effort-performance relationship
 - Instrumentality = performance reward relationship
 - Valence = rewards – personal goals relationship

Adam's Equity Theory

- Employees perceive what they get from a job wrt what they put into the job and compare their output-input ratio with that of relevant others
- Based **on principle of Justice**
- 4 types of referents
 - Self-Inside; Self-Outside; Other-Inside; Other-Outside
- Negative tension = state where expected fairness is not observed
- Possible outcomes of Negative Tension State
 - Change input (exert less effort)
 - Change referent
 - Change perception about self (I did less effort)
 - Change perception about others (he is more talented)
 - Change outcome (ask for raise)
 - Quit the job

Porter Lawler Model

- Extension of Vroom's expectancy theory
- Explains how efforts lead to performance and satisfaction
- Key elements of the model
 - Effort (into the work); Performance; Rewards (intrinsic & extrinsic); Perceived Equity (if fair = satisfaction, if unfair = dissatisfaction); Satisfaction
- Satisfaction comes after performance

Self Determination Theory

- Proposes that people prefer to feel like they have control over their actions, so anything that makes a previously enjoyed task feel more like an obligation than a freely chosen activity will undermine motivation
- **Competence, Relatedness and Autonomy** (Humans' 3 basic needs) are main sources of motivation
- These people are intrinsically motivated
- **Cognitive evaluation theory (subset of SDT)** = extrinsic rewards may reduce intrinsic interest in a task if they make people feel controlled
 - if rewards are seen as supportive = motivation increases (like praise)
 - if rewards are seen as controlling = motivation decreases (like money)

Reinforcement Theory

- **B.F. Skinner**
- Works on the principle of "Law of effect"
- Based on the idea that behaviour is shaped on the consequences
- Considers only biological & Physiological needs. **Ignores intrinsic feelings**
- 4 types of reinforcements
 - Positive Reinforcement = adding something good
 - Negative reinforcement = rewarding by decreasing something unpleasant
 - Punishment = decrease unwanted behaviour
 - Extinction = behaviour gradually disappears because it's not rewarded

Clark Hull's Drive Reduction Theory

- Clark Hull and later Kenneth spence
- Says that people **are motivated to reduce discomfort caused by unmet biological needs**
- Causes drives to reduce the biological discomfort to return back to Homeostasis
- When balance is disturbed, a drive is created
- When the need is satisfied, balance is restored

Self-efficacy Theory

- **Albert Bandura**
- Person's belief in their own ability affects their motivation and performance
- Self-efficacy can be improved in 4 ways
 - Personal experience
 - Vicarious experience (someone else succeeding)
 - Verbal persuasion
 - Emotional & Physiological state

Pygmalion Effect

- Higher expectations lead to better performance

Golem Effect

- Lower expectations lead to poor performance

Hackman & Oldham Job Characteristics Model

- Model explains job designs affects employee motivation, satisfaction, and performance
- Well-designed job led to higher motivation & better performance
- 5 Core Job characteristics
 - Skill variety (plan, execution, communication etc)
 - Task Identity (complete task instead to small part)
 - Task significance (impact on others)
 - Autonomy
 - Feedback

Leadership

Leadership is the ability to guide, influence, and inspire others to achieve a common goal or objective

Leadership Styles (Kurt Lewin's 3 types)

According to Kurt Lewin = Behavior is a function of the person and the environment

Authoritarian

- Leader takes decisions alone (no team involvement)
- Full control, no questioning allowed

Advantages

- Quick decisions
- Clear direction & accountability
- Effective for low-skilled/repetitive tasks

Disadvantages

- Low morale, high turnover
- Poor creativity & innovation
- Dependency on leader
- Risk of misuse of power

Good short-term, poor long-term

Participative / Democratic

- Team participates; leader makes final decision
- Two-way communication

Advantages

- High motivation & commitment
- Better decisions (diverse inputs)
- Strong teamwork & creativity

Disadvantages

- Slow decision-making
- Conflicts possible
- Needs strong leadership skills

Best with Skilled teams + time available

Laissez-Faire / Delegative

- Full freedom to employees
- Leader trusts team completely

Works only when: Skilled, experienced team

Advantages

- High innovation & independence
- Job satisfaction & ownership
- Fast decisions

Disadvantages

- Lack of direction
- Poor coordination
- Low accountability
- Not suitable for beginners

Transactional Leadership

- Proposed by James MacGregor Burns, developed by **Bernard Bass**
- Based on **rewards & punishments**

Key Features

- Focus on supervision & performance
- Extrinsic motivation
- Uses Management by Exception (MBE), managers don't interfere or pay attention to subordinates work until there is some problem
- Focuses on improving the current situation of the organization

Limitations

- Not suitable for emotional/creative people
 - Rigid, routine-oriented
-

Transformational Leadership

- Proposed by **James MacGregor Burns**

Features

- Visionary & inspirational
- Focus on innovation
- Motivates through values

4 Characteristics in Transformational Leader

1. Idealized Influence (leader serves as role model)

2. Inspirational Motivation (leader inspires & motivates)
3. Individualized Consideration (leaders have genuine concern)
4. Intellectual Stimulation (leader challenge followers to be innovative & creative)

Transformational Vs Transactional

Basis	Transactional	Transformational
• Nature • Focus • Environment • Style • Goal	• Reactive • Rewards/Punishment • Stable • Bureaucratic • Maintain system	• Proactive • Values & Vision • Dynamic • Charismatic • Change System

Servant Leadership (Robert Greenleaf)

- Leader serves followers first
- Focus: growth of employees

Advantages

- High engagement & trust
- Enhance creativity & innovation
- Strong teamwork
- Sustainable growth

Disadvantages

- Slow decisions
- Risk of misuse
- Not suitable for urgent or highly specialized situations
- Needs highly capable leader

Bureaucratic Leadership (Max Weber)

- Strict rules, hierarchy

Features

- Authority from position
- Rule-based promotions

Advantages

- Efficiency, consistency
- Reduced errors

Disadvantages

- No flexibility
- Low innovation
- Slow decisions

Charismatic Leadership

- Based on personality & influence

Examples: Martin Luther King Jr., Malala Yousafzai

Advantages

- High motivation
- Strong vision
- Crisis leadership

Disadvantages

- Over-dependence on leader
 - Risk of manipulation
 - Not sustainable long-term
-

Leadership Theories

Trait Theory (*Believes leaders are born*)

- An individual with traits relevant to leadership emerges as an effective leader
- Based on characteristics of many leaders (successful and unsuccessful)
- Used to **predict leadership effectiveness**

Implications:

- A leader requires certain qualities to be effective
- Many of these can be developed through training and development

Limitations:

- Lack of generalization of qualities for all situations
 - Follower behaviour is not influenced exclusively by leadership traits
-

Functional Approach Theories (*Hackman & Walton, 1986; McGrath, 1962*)

- Focuses on **how leadership occurs** (process) rather than who leads
- Believes leadership is a **distributed function**
- No formal leader is necessary — the organization as a whole can lead

Popular Theory: John Adair's Action Centred Theory

- Divides leadership into **3 circles: Task Needs, Group Needs, and Individual Needs**
- Each plays a significant role in effective leadership

Advantages of Functional Approach:

- Practicality
- Flexibility
- Focus on group outcomes

Limitations:

- Potential oversimplification
- Lack of attention to individual differences
- Potential for role conflict

Behavioural Theories

- Believes **leaders are made, not born** (opposite of Trait Theory)
- Emphasizes strong leadership as a result of **effective role behaviour**
- Leadership shown by **acts** more than traits

Two Major Functions (Behavioural Theory):

- **Task-related functions** — solutions to problems in performing jobs
- **Group maintenance/People-oriented functions** — mediating disputes, treating individuals as valued group members

An individual who performs **both roles** is considered an effective leader.

The Ohio Studies

- Behavioural theory → focus on leader behaviour
- Identified 2 independent dimensions:
 1. Initiating Structure (**Task-related functions**)
 2. Consideration (**People-oriented functions**)

✓ Both are independent (not mutually exclusive)

✓ Best leaders = High task + High people

- Focus on leader behaviour
- Identified 2 styles:
 1. Task-Oriented
 2. Employee-Oriented

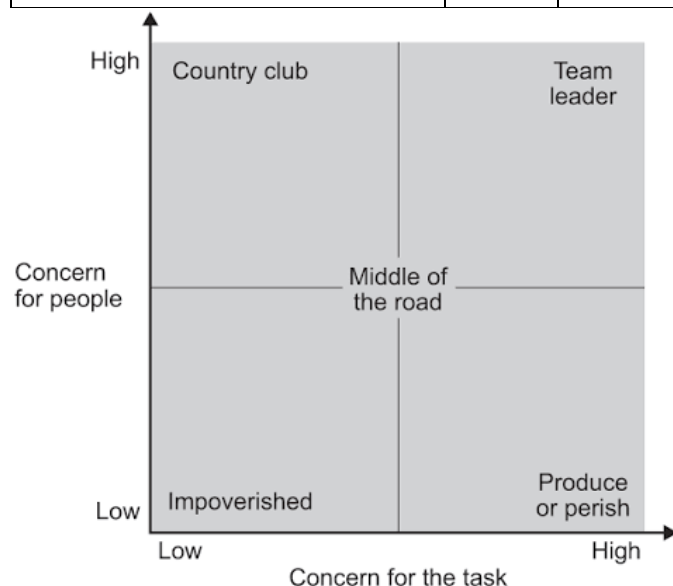
Ohio = Dual dimensions (can combine)

Michigan = Either-or styles (less flexible)

Blake and Mouton Managerial Grid

- System to group leaders based on techniques
- Two dimensions: **Task-oriented managers** and **Relationship-oriented managers**
- **X-Axis = concern for production**
- Y-Axis = Concern for People

Style	Grid	Description
Impoverished Management	(1,1)	Low on both dimensions; minimum effort; ineffective leaders
Task Management	(9,1)	Dictatorial; high production focus; low concern for people
Middle -of-the-Road	(5,5)	Balance between company goals & people needs
Country club	(1,9)	High focus on people, low focus of tasks
Team Management	(9,9)	High focus on peoples' needs and company goals; Most effective



Advantage: Used in **grid training** to help managers analyze their own leadership style.

Disadvantage: Ignores importance of internal/external limits and scenario.

Situational Theories

No single "best" leadership style — effective leadership depends on the specific situation

TANNENBAUM & SCHMIDT — LEADERSHIP CONTINUUM THEORY

Leadership is situational & flexible

Continuum from Boss-centric → Subordinate centred

Included 7 leadership styles

Factors Affecting Leadership Style:

- Manager Factors
- Subordinate factors
- Situational factors

Path-Goal Theory (Robert House)

- Leader helps achieve goals
- Combination of situational leadership styles & vroom's expectancy theory

Leadership Styles

- Directive
- Supportive
- Participative
- Achievement-oriented

Contingency Theories

Fiedler's Contingency Theory

Leadership style is **dependent on situation and varies accordingly**

Leader effectiveness = how well **leadership style matches** the situation

Leadership style is FIXED — cannot be changed; must put leaders in situations that match their style

Three Elements of the Model:

1. Leadership Styles
2. Situational Variables
3. Relationship between leadership styles and situational variables

Leadership Styles (measured by LPC Scale):

LPC=Least preferred co-worker scale, (asks you to think of the one person you worked with that you liked the least)

- **Task-directed** — concerned with task performance (Low LPC = Task-oriented)
- **Human relations-oriented** — concerned with good interpersonal relations (High LPC = Relationship-oriented)

- **Strengths:** Emphasizes situational factors; supported by some research.
- **Weaknesses:** LPC scale may not be reliable; oversimplified; limited research support.

Hersey & Blanchard Model

- Based on **follower maturity**
- **Maturity** = combination of **competence** + **commitment**

Leadership Styles

1. Telling (High Directive, Low Supportive)
2. Selling (High Directive, High Supportive)
3. Participating (Low Directive, High Supportive)
4. Delegating (Low Directive, Low Supportive)

Maturity Levels

- M1 → Low ability + low willingness
- M2 → Low ability but willing
- M3 → Skilled but unwilling
- M4 → Skilled & willing

Strengths: Practical framework; emphasizes development and follower growth; widely adopted.

Weaknesses: Oversimplifies leadership; "maturity" definition is subjective; not suitable for all.

Transactional Leadership Theories

Leader Member Exchange Theory

- Focuses on relationship between manager and team members
- Leaders do not treat each subordinate the same → formation of In-group and Out-group members
- Relationship developed through 3 stages (role-taking, role-making, routinization)

Strengths of LMX Theory:

- Unique focus on specific relationships between leader and each subordinate
- Focuses on significance of communication in leadership
- Valid and practical in approach

Criticisms of LMX Theory:

- Fails to explain how high-quality exchanges are created
- Questioned on grounds of fairness and justice

Communication

Process of exchanging information, ideas, thoughts or feelings between individuals/groups

Communication Process – 8 Steps

SENDER → ENCODING → MESSAGE → CHANNEL → RECEIVER → DECODING → FEEDBACK → NOISE

Step	What it Means
Sender	Initiates the message
Encoding	Translates thoughts into words/symbols/gestures
Message	The actual physical product (speech, writing, gesture)
Channel	Medium chosen — formal (authority chain) or informal (spontaneous)
Receiver	Person/group the message is intended for
Decoding	Receiver interprets message based on experience & context
feedback	Receiver's response; checks if message was understood
noise	Any distortion — physical, psychological, or semantic

Communication Channels – Information Richness

Channel	Richness
Face-to-face conversation	HIGH
Video Conferencing	HIGH
Telephone conversation	HIGH
Emails/Handheld/ Blogs	MEDIUM
Written letters & Memos	MEDIUM
Formal documents / Spreadsheets	LOW

Effective managers use MORE information-rich channels than less effective managers

Verbal Communication

Oral Communication

- **Includes** – face-to-face, speech, telephone, video, radio, TV, voice over internet
- **Influenced by** – pitch, volume, speed, clarity
- **Advantage** – Quick feedback; read facial expression & body language
- **Disadvantage** – Cannot think deeply before delivering; distortion increases with chain

Written Communication

- **Includes** – email, letter, report, memo — most common in business
- **Advantage** – Editable, provides record/backup, enables full understanding
- **Disadvantage** – No instant feedback; more time to compose

Non-Verbal Communication – 9 Types

Type	Also called	Key definition & points
Kinesics	Body language	Interpretation of body MOTION — facial expressions, gestures, posture, eye gaze, head movements, shape of body, personal appearance
Oculesics	Eye language	Subcategory of Kinesics. Study of EYE movement, gaze, blinking, eye contact. Conveys trust, attention, dominance or deception
haptics	Touch language	Communication via TOUCH — handshakes, hugs, pats. Cultural norms heavily influence acceptable touch
Proxemics	Space language	Study of use of SPACE. 4 zones: Intimate (0–45cm), Personal (45cm–1.2m), Social (1.2–3.6m), Public (3.6m+)
Objectics	Artifact Language	Use of OBJECTS/ARTIFACTS to communicate — clothes, car, office decor, jewellery. Signal status, identity, culture
Chronemics	Time Language	Role of TIME in communication. Punctuality = respect. Call at 2am = emergency. Monochronic vs Polychronic cultures
Paralanguage	Vocalics	Vocal QUALITIES — pitch, tone, volume, tempo, rhythm, articulation, accent. High-pitch = surprise; Low-pitch = seriousness
Olfactics	Smell Language	Communication via SMELL. Memory for smell is MORE durable than sight/sound. Can be used as warning system
Gustorics	Taste language	Communication via TASTE. Food = hospitality, culture, social identity. Business dinners, diplomatic meetings

Direction of Communication Flow

Type	Direction	Key Points	Examples
Downward	Top → Bottom	Instructions, goals, policies, feedback to subordinates. One-way. Problem: distortion across levels	Circulars, letters to employees, group meetings, manuals
Upward	Bottom → Top	Progress reports, suggestions, grievances, feedback on employee feelings. Limited use if reports sugar-coated	Grievance box, job satisfaction surveys, employee-manager discussion
Lateral	Same → Same level	Between peers/managers at same level. Time-saving, facilitates coordination. Can bypass hierarchy (risky)	Staff meetings, coordination committees, peer discussions
Diagonal	Cross level/dept	Between manager & employees of OTHER workgroups. Does NOT appear on org chart	Training manager ↔ Operations staff
External	Org ↔ Outside	Between org and external groups	MD ↔ Bank for capital; company ↔ suppliers/vendors
Internal	Inside org	In the same organization btw individuals, groups, departments etc	Team briefings, memos, reports, notices, email etc

Communication Networks

Formal Networks

Network	Type	Key Feature
Chain	Centralized	Serial, top-to-bottom line. Formal. Civil services. Lower levels may feel isolated
Y Network	Centralized	Multiple info sources, hierarchical. Army/Police receive info from various sources above
Wheel/Star	Centralized	Hub-and-spoke. Fast simultaneous transmission. Greater sense of belonging(since all are connected to central authority). Solves problems quickly
Circle	Decentralized	Each person linked to 2 others(adjacent). Same-level communication(same level managers). Problem: lack of co-ordination
All Channel	Decentralized	Everyone connected to everyone. Best for SMALL groups. Brainstorming. Decision-making slow

Informal Networks – GRAPEVINE

- **No permanent structure** – arises from socio-psychological needs; unofficial channel
- **Also called** – "Grapevine" — inevitable, managers CANNOT eliminate it

Grapevine pattern	How it works
Single-strand	A → B → C → D (sequential chain)
Gossip Chain	One person tells EVERYONE
Probability Chain	Info passed RANDOMLY to whoever is nearby
Cluster (Most Common)	One person tells a FEW trusted people confidentially; some pass it further

Grapevine is INEVITABLE. Use it effectively — share info openly/quickly, use key communicators.

The 7 Cs of Communication

C	Meaning
CLEAR	Be clear about what you want to say — simple, unambiguous language
CONCISE	Use only necessary words — no padding
CONCRETE	Use exact, specific words and phrases — no vague statements
CORRECT	Correct spelling, grammar, language — no factual errors
COHERENT	Logical sequence — words make sense and relate to the main topic
COMPLETE	All needed information included — no gaps
COURTEOUS	Respectful, friendly, honest — considerate of the receiver

Oral vs Written Communication

Basis	Oral	Written
Record	No permanent record	Always has a permanent record
Feedback	Immediate	Delayed
Flexibility	Highly flexible	Rigid/inflexible
Reliability	Not reliable	Most reliable
Legality	Not legal evidence	Legal evidence
Distortion	High possibility	Not possible/low
Cost	Less costly	High cost
Emotion	Affected by emotion	Seldom affected by emotion
Effectiveness	Most effective	Less effective than oral
Delegation	Not suitable	Suitable for delegation of power
Formality	Informal relationship	Formal relationship
Preservation	Hard to preserve	Possible to preserve & use in future

Verbal vs Non-Verbal Communication

Dimension	Verbal	Non-verbal
Structure	Structured; grammar rules; clear messages	Not structured; no fixed patterns
Continuity	Has start & stop points	CONTINUOUS — keeps going even when alone
Miscommunication	Less — distinct word meanings	More — ~4000 facial expressions; easy to misread
Brain processing	LEFT hemisphere (analysis/reasoning)	RIGHT hemisphere (spatial, pictorial, gestalt)
Speed	Fast and efficient	More time consuming
Distance	Works at any distance (phone, letter, chat)	Requires physical PRESENCE
Feelings	Less effective for emotions	Better at communicating emotions & feelings
Evidence	Can be witnessed; usable as evidence	Less evidence unless eyewitnesses present

Barriers of Communication

Barrier	What causes it/ key points
Semantic	Wrong words, jargon, faulty translation, symbols with different meanings, body language misread
Organisational	Unclear authority, complex structure, rigid policies, status/position differences
Psychological	Emotions — fear, anger, jealousy, anxiety, communication overload, attitude, confused thinking
Physical	Distance between people, outdated equipment, background noise, poor lighting
Mechanical/System	Machine failure, power failure, interruptions in transmission
Perceptual	Internal biases, stereotypes, personal experiences & preferences
Filtering	Sender manipulates info to look favorable to boss. More levels = more filtering
Information Overload	More info than processing capacity → select, ignore, forget
Cultural	Semantics, word connotations, tone, conflict tolerance, high/low context differences
Silence	Absence of communication itself conveys non-interest, inability, or overload
Communication Apprehension	5–20% of people have social anxiety in oral/written communication
Lying	Misrepresentation. More comfortable lying by phone than face-to-face; email than handwriting

How to overcome Barriers

- Use simple language; make purpose clear; explain jargon
- Plan message before communicating; supplement with gestures/tone
- Take feedback; use projectors/charts if needed
- Overcome distrust; develop listening skills; avoid noise
- Prefer written communication in emotional situations
- Choose right channel — official info → official channel; feedback → informal channel

Cultural Barrier – High vs Low Context

Culture	How they communicate	Examples
HIGH-CONTEXT	Heavy reliance on NON-VERBAL cues, status, reputation. What is NOT said matters more	China, Korea, Japan, Vietnam
LOW-CONTEXT	Rely on SPOKEN & WRITTEN words. Body language & titles are secondary	Europe, North America

Role of Information Technology in Communication

Benefits of IT

- Improved monitoring of individual and team performance
- Employees get more complete info → faster decisions
- More opportunities to collaborate and share information
- People accessible any time, regardless of location

Two Key IT Developments

- Networked Systems – Computers linked — email, IM, social media (blogs/wikis/Twitter), webinars, voicemail, fax, teleconferencing, videoconferencing, intranets
 - Wireless Capabilities – Wi-Fi/WiMax; smartphones, tablets — mobile workers stay connected anywhere without being at desks
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Human Resource Development

Human Resource Management (HRM) means planning for, obtaining, developing, paying and retaining the people an organisation needs.

HRM process: Estimate people needed → analyse jobs → recruit → select → orient → train and develop → assess performance → compensate → retain or manage separation

HRM	HRD
Broad management of people throughout employment	Focuses on learning, growth and capacity
Includes hiring, pay, relations, training, and separation	Includes training, career development, coaching & development systems

Term	Meaning
Job Analysis	Studying a job's tasks and requirements
Job evaluation	Assessing the relative worth of a job to the organisation
Performance appraisal	Assessing a particular employee's performance
Job Enlargement	Adding more tasks at a similar level
Job Enrichment	Adding responsibility, autonomy or meaningful decision making

Career planning and development

Career planning: Identifying career goals and deciding steps toward them.

Career development: The continuing process of gaining experience and capability and moving through a career.

Career management: Actions by an individual and organisation to support career progress

Term	Meaning
Career Anchors	Deeply held abilities, motives and values that guide a person's career choices; associated with Edgar Schein .
Career orientation	A person's general preference or attitude toward particular kinds of work and career success.
Career counselling	Guidance to help someone understand career choices and make decisions.

HRD principles and roles

Term	Meaning
Principle of Potential Maximization	Help employees develop and use their full potential.
Principle of Development of organization-wide capabilities	Build capabilities across the organisation, beyond one employee or department.
Principle of Autonomy	Give people appropriate freedom to make decisions and take responsibility.
Principle of Proper delegation	Assign suitable authority and responsibility to others for work.
Balancing Role	Balance employee needs with organisational needs
Performance Management	Set expectations, monitor work, give feedback and support improved results.
Link Building	Connect people, groups or management and employees to improve communication and cooperation.

Synergetic management	Coordinate people so their combined work produces a stronger result.
Coercive Management	Rely on pressure, threats or force to obtain compliance.

Rewards & Incentives:

Financial: Pay, bonus, profit-sharing

Non-financial: Recognition, promotion, responsibility